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Childcare Fee Policy & Rate-Setting Worksheet

Fee policy template and rate-setting worksheet for childcare directors. Covers tuition by age group, late fees, registration, and cost calculation.

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- ☐ Confirm attendance dates match room records.
- ☐ Mark ratio notes that support licensing review.
- ☐ Attach subsidy claim evidence before filing.
- ☐ Keep guardian and pickup updates with the child record.

How to Use This Template

This document has two parts: a fee policy template (customize and give to families) and a rate-setting worksheet (for internal use only). Complete the worksheet before finalizing your fee schedule. Update the worksheet annually before your rate review.

Part 1: [CENTER NAME] Fee Policy

Effective Date: [DATE] **Supersedes all previous fee schedules dated prior to the effective date above.**

Tuition Rate Schedule

Full-Time Weekly Rates

Age Group / Classroom	Age Range	Weekly Rate
Infant	Birth – 12 months	\$ _____
Young Toddler	12 – 24 months	\$ _____
Older Toddler	24 – 36 months	\$ _____
Preschool	3 – 4 years	\$ _____
Pre-K	4 – 5 years	\$ _____
Before/After School	5 – 12 years	\$ _____ / day or \$ _____ / week

Part-Time Rates

Schedule	Rate
3 days per week (specify days at enrollment)	\$ _____ / week
2 days per week (specify days at enrollment)	\$ _____ / week
Drop-in care (subject to availability, must be registered)	\$ _____ / day

Part-time slots are assigned at enrollment and may not be changed on a week-to-week basis. Part-time tuition does not decrease for days the child does not attend.

Monthly Billing Option

Families may elect monthly billing at the equivalent of 4.33 weeks per month.

Monthly Equivalent Rates:

Age Group	Monthly Rate
Infant	\$ _____
Young Toddler	\$ _____
Older Toddler	\$ _____
Preschool	\$ _____
Pre-K	\$ _____
Before/After School	\$ _____

Sibling Discount

Families with two or more children simultaneously enrolled in full-time care receive a [X]% discount applied to the younger child’s tuition. The discount applies only when both children are enrolled full-time and is removed if either child’s enrollment drops to part-time.

Additional Fees

Fee	Amount	When Applied
Annual Registration Fee	\$ _____	Due at enrollment; non-refundable
Annual Re-Enrollment Fee	\$ _____	Due at re-enrollment each year; non-refundable
Annual Supply/Materials Fee	\$ _____	Due at enrollment for the program year; non-refundable
Late Payment Fee	\$ _____	Added to account if tuition is not received by the due date
Returned Payment Fee	\$ _____	Added for returned checks or failed electronic payments
Late Pickup Fee	\$ _____ per minute	For each minute past [CLOSING TIME]
Field Trip Fee	Variable	Billed per trip; families notified in advance
Medication Administration Fee	\$ _____ per administration	Applied for administering non-emergency medications

Payment Terms

Tuition Due Date: [DAY — example: Tuition for the current care week is due the Monday of that week. Monthly tuition is due the 1st of the month.]

Grace Period: Payments received by [TIME ON DUE DATE] are not assessed a late fee. Payments received after this time are assessed the late payment fee.

Accepted Payment Methods: ☐ Check (payable to [CENTER NAME]) ☐ Bank transfer / ACH ☐ Credit or debit card (a [X]% processing fee applies) ☐ Cash (receipt provided; do not send cash with children)

Auto-Pay: Families enrolled in auto-pay authorize [CENTER NAME] to process tuition on the due date using the payment method on file. Auto-pay enrollment forms are available at the front desk.

Returned Payments: A \$[AMOUNT] fee is assessed for returned checks or failed electronic payments. Following a returned payment, [CENTER NAME] may require all future payments to be made by certified check, money order, or cash for a period of [X months].

Delinquent Accounts: Accounts more than [X] days past due may result in suspension of care pending payment. Accounts more than [X] days past due may result in termination of enrollment. [CENTER NAME] reserves the right to pursue collection of past-due accounts.

Enrollment Deposit: An enrollment deposit of \$[AMOUNT] is due at the time of enrollment to reserve your child's spot. This deposit is applied to your first week/month of tuition. The deposit is non-refundable if you withdraw before the start date.

Rate Change Policy

[CENTER NAME] reviews tuition rates annually. Rate changes become effective [DATE — example: each September 1 for the new program year]. Families will receive written notice of any rate change at least [60 / 90] days before the effective date.

Part 2: Rate-Setting Worksheet (Internal Use Only)

Do not distribute this worksheet. Use it annually before finalizing your published fee schedule.

Step 1: Calculate Fixed Monthly Costs

These costs do not change based on how many children are enrolled.

Fixed Cost	Monthly Amount
Rent or mortgage	\$ _____
Utilities (electric, gas, water, trash)	\$ _____
Phone and internet	\$ _____
Business insurance	\$ _____
Director salary	\$ _____
Administrative/office staff	\$ _____
Accounting and legal	\$ _____
Software subscriptions	\$ _____
Loan/equipment payments	\$ _____
Marketing	\$ _____
Other fixed overhead	\$ _____
Total Fixed Monthly Costs	\$ _____

Step 2: Calculate Variable Costs Per Child Per Month

These costs increase as enrollment increases.

Variable Cost	Monthly Cost Per Child
Classroom staff wages and payroll taxes	\$ _____
Food and CACFP-eligible meal costs	\$ _____
Classroom supplies and materials	\$ _____
Art supplies	\$ _____
Cleaning and sanitation supplies	\$ _____
Licensing fees per child	\$ _____
Other per-child costs	\$ _____
Total Variable Cost Per Child Per Month	\$ _____

Step 3: Calculate Minimum Rate (Cost-Based Method)

Licensed capacity: _____ children

Expected average enrollment (typically 80-90% of capacity): _____ children

Fixed cost per enrolled child per month: Total Fixed Monthly Costs ÷ Expected Enrollment = \$ _____ per child

Total cost per child per month: Fixed cost per child + Variable cost per child = \$ _____ per child

Convert to weekly rate: Monthly cost per child ÷ 4.33 = \$ _____ per week
(minimum rate to break even)

Add target margin: Minimum weekly rate × (1 + [target margin, e.g., 0.10 for 10%]) = \$ _____ per week

This is your cost-based floor rate. Your published rate should be at or above this number. If it is not, your program is operating at a loss.

Step 4: Market Comparison

Competitor / Comparison Center	Age Group	Their Rate	Your Rate	Your Position
[Center 1]	Infant	\$ _____	\$ _____	[] Above [] At [] Below
[Center 2]	Infant	\$ _____	\$ _____	[] Above [] At [] Below
[Center 1]	Preschool	\$ _____	\$ _____	[] Above [] At [] Below
[Center 2]	Preschool	\$ _____	\$ _____	[] Above [] At [] Below

If your cost-based rate is above the market rate for comparable care, investigate which cost category is driving the difference. Common culprits: below-market enrollment (fixed costs spread too thin), high rent relative to enrollment capacity, or inefficient staffing ratios.

Step 5: Annual Rate Increase Formula

Last year's rate: \$ _____ **CPI / inflation estimate for your area:** _____%

Staff wage increase this year: _____% **Rent increase this year:** _____%

Weighted increase estimate: _____% (simple average of the above three)

Recommended new rate: Last year's rate $\times$ (1 + weighted increase) = \$ _____

Round to the nearest \$5 increment for clean communication. Minimum recommended annual increase: 3%. Maximum before triggering significant family complaints: 8% in a single year.

Rate Change Notice Template

Send to all currently enrolled families at least 60-90 days before new rates take effect.

Dear [CENTER NAME] Families,

We are writing to let you know that tuition rates at [CENTER NAME] will be adjusted effective [EFFECTIVE DATE].

Your child's new weekly tuition will be: \$_____

This adjustment reflects [BRIEF EXPLANATION — example: increased staff wages as we work to retain our experienced team, higher supply costs, and our continued investment in the quality of your child's care].

We know that every dollar matters for your family. We are committed to providing high-quality care that gives you confidence in [your child's / your children's] daily experience, and we work hard to keep our rates as stable as possible from year to year.

If you have questions about this change, please don't hesitate to reach out.

[DIRECTOR NAME] Director, [CENTER NAME] [PHONE] | [EMAIL]

Communication Best Practices for Rate Increases

- Announce increases in writing (email and letter), not verbally or via text. Verbal announcements create confusion about the exact amount and effective date.
- Give at least 60 days notice. Families need time to adjust budgets. 90 days is better if the increase is more than 5%.
- Be specific. “Rates are going up” is less reassuring than “Your weekly rate for the Preschool classroom will increase from \$XXX to \$XXX.”
- Briefly explain the reason. You don’t need to share your financials — a sentence or two about staff investment, rising supply costs, or facility improvements is enough to give context.
- Do not apologize excessively. A reasonable rate increase for a well-run center is not something to apologize for. Confidence in the value you provide comes through in how you communicate.
- Offer a conversation. Let families know they can call or email with questions. Most won’t — but the offer signals good faith.